

5. 9:00 AM CASE NUMBER: C24-01538

CASE NAME: FULLER PROPERTIES, LLC VS. SEQUOIA EQUITIES, INC.

*HEARING ON MOTION IN RE: JUDGMENT ON THE PLEADINGS AS TO THE ENTIRE FIRST AMENDED COMPLAINT. FILED BY SEQUOIA EQUITIES.

FILED BY:

TENTATIVE RULING:

Before the Court is a motion for judgment on the pleadings filed by defendants Sequoia Equities, Inc. and Alder Creek Management, Inc. For the reasons set forth and on the grounds stated hereafter in the ruling, the motion for judgment on the pleadings is: (a) **granted as to Alder Creek as to all causes of action (1st through 11th C/As), with leave to amend;** (b) **granted as to Sequoia as to 1st through 5th, 7th, and 9th C/As, with leave to amend;** and (c) **denied as to Sequoia as to the 8th and 11th C/As.**

Background

Plaintiffs are approximately 60 entities, including lead plaintiff Fuller Properties, LLC, which own residential apartment buildings managed by defendant Sequoia Equities, Inc. Plaintiffs allege they each have a written property management agreement ("Management Agreement") with Sequoia to manage their apartment buildings, and they attach to their first amended complaint ("FAC") an example of the agreements. (FAC ¶¶ and Exh. A.)

In 2023, three individuals, current or former tenants of apartment buildings owned by one or more of the Plaintiffs in this case, filed a class action lawsuit against Sequoia, Alder Creek, and Plaintiffs, commencing the case *Ross, etc., et al. v. Sequoia Equities, Inc., etc., et al.*, Case No. MSC23-02401 (the "Class Action") pending in Department 39 of this Court. In this case, Plaintiffs filed an original complaint to which Sequoia and Alder Creek filed a demurrer. Before the demurrer was to be heard, Plaintiffs filed the FAC, the operative pleading in this case. Defendants did not file a demurrer to the FAC but now file a motion for judgment on the pleadings. Sequoia challenges nine of the eleven causes of action (all but the 6th C/A for breach of contract and 10th C/A for declaratory relief) for failure to state facts sufficient to state causes of action. Alder challenges all eleven causes of action against it.

Legal Standards Governing Motion for Judgment on the Pleadings

Code of Civil Procedure section 438 permits a defendant to move for judgment on the pleadings on the ground that the complaint does not state facts sufficient to constitute a cause of action against the defendant. (Code Civ. Proc. §§ 438(b)(1) and 438(c)(1)(B)(ii); *Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650 ["Such motion may be made on the same ground as those supporting a general demurrer, i.e., that the pleading at issue fails to state facts sufficient to constitute a legally cognizable claim or defense. [Citation omitted.]".]) (See also *Connerly v. Schwarzenegger* (2007) 146 Cal.App.4th 739, 746 ["A motion for judgment on the pleadings is the equivalent of a demurrer made after the pleadings are in." [Citation omitted.]".])

The legal standards for determination of a motion for judgment on the pleadings are similar to the standards for determination of a demurrer. (*Eckler v. Neutrogena Corp.* (2015) 238 Cal.App.4th 433, 439.) The basis for judgment on the pleadings "shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice." (Code Civ. Proc. § 438(d).) As in

the case of a demurrer, the Court accepts all factual allegations of the complaint and "gives them a liberal construction." (*Gerawan Farming, Inc. v. Lyon* (2000) 24 Cal.4th 468, 515-16.)

A common law motion for judgment on the pleadings may similarly be made on the ground the complaint fails to allege facts sufficient to state a cause of action. (*Smiley v. Citibank (S.D.), N.A.* (1995) 11 Cal.4th 138, 146; *Saltarelli & Steponovich v. Douglas* (1995) 40 Cal.App.4th 1, 5 [treating motion to dismiss as a nonstatutory motion for judgment on the pleadings which may be granted if the complaint fails to state facts sufficient to constitute a cause of action].) "A common law motion for judgment on the pleadings 'ha[s] the purpose and effect of a general demurrer.' [Citations omitted.]" (*Smiley v. Citibank (S.D.), N.A., supra*, 11 Cal.4th at 146.)

Consistent with the rules for determination of a demurrer, a motion for judgment on the pleadings must fully dispose of the challenged cause of action. (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1167, overruled in part on other grounds by *Sheen v. Wells Fargo Bank, N.A., supra*, 12 Cal.5th at 919; *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683.) Further, "If the motion for judgment on the pleadings is granted, leave to amend must be granted unless the defect cannot be cured by amendment." (*Hudson v. County of Los Angeles* (2014) 232 Cal.App.4th 392, 408.)

Note on Federal Case Authority

The causes of action alleged in the FAC are based on California statutory and common law. No claims based on federal law are alleged. Federal cases construing California law are at best persuasive authority and not binding authority on this Court. (*T.H. v. Novartis Pharmaceuticals Corp.* (2017) 4 Cal.5th 145, 175; *Beverage v. Apple, Inc.* (2024) 101 Cal.App.5th 736, 756, fn. 6.) The Court is bound to follow controlling published California case authority on matters of California law. (*Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 455-456; *ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.* (2016) 5 Cal.App.5th 69, 92.)

Plaintiffs' Procedural Arguments

Plaintiffs argue the motion for judgment on the pleadings is procedurally improper. They argue that the failure to demur to the first amended complaint constitutes a waiver of the right to file a motion for judgment on the pleadings, citing as their only authority for that proposition the Weil & Brown treatise, and specifically to paragraphs of that treatise that do not address or stand for that proposition. (Weil & Brown, *Civil Procedure Before Trial* (The Rutter Group 2025) ¶¶ 7.43 [a demurrer admits facts in complaint as opposed to legal conclusions] and 7.44 [no matter how unlikely the facts alleged may be].) Code of Civil Procedure section 430.41 addresses the meet and confer requirement and includes other provisions applicable to demurrers, not motions for judgment on the pleadings which are governed by Code of Civil Procedure sections 438 and 439. Under Code of Civil Procedure section 439(a)(4), "A determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion for judgment on the pleadings." (Emphasis added.) (See also Code Civ. Proc. § 430.41(a)(4) [to the same effect for demurrers].)

Plaintiffs also cite a case, *Stalneck v. City of Novato* (2022) 81 Cal.App.5th 529, in support of their position that defendants waived the right to move for judgment on the pleadings because defendants did not demur to the FAC. (Opp. p. 4, ll. 20-24 ["The MJOP is not a vehicle to revive waived demurrer arguments (*Stalneck v. City of Novato* (2022) 81 Cal.App.5th 529, 537.)"].) The Court has been

unable to locate a published decision by that name, and the reporter citation appears in the middle of another, inapposite case, *Callanan v. Grizzly Designs, LLC* (2022) 81 Cal.App.5th 517, 529. Curiously, defendants' reply addresses and purports to distinguish the (apparently non-existent) *Stalnecker* case. (Reply p. 2, ll. 19-23.) The Court cannot determine whether or not the case was generated by an AI search. In case the parties are not aware, a published decision recently addressed the implications for attorneys of using AI-generated legal authority. (See generally *Noland v. Land of the Free, L.P.* (2025) 114 Cal.App.5th 426, 441-447.) Whether generated by AI or not, the Court disregards the decision that it has not been able to locate.

In addition, the legal proposition asserted by Plaintiffs as applied to the motion in this case is contrary to the applicable statutory authority. Defendants did not demur to the FAC but answered. The Code of Civil Procedure explicitly authorizes a motion for judgment on the pleadings to be made on the ground the complaint as a whole or specific causes of action fail to state facts sufficient to constitute a cause of action, a ground on which a demurrer may be made, and which is not waived by failing to demur to the pleading. (Code Civ. Proc. §§ 438(c)(1)(B)(ii) and 438(c)(2)(A); Code Civ. Proc. § 430.41(b) [grounds for subsequent demurrer where demurrer to earlier pleading was sustained]; Code Civ. Proc. § 430.80(a) [if party fails to object to complaint by demurrer or answer, party "is deemed to have waived the objection unless it is . . . an objection that the pleading does not state facts sufficient to constitute a cause of action." (emphasis added)].)

Plaintiffs' procedural objections to the motion are **overruled**.

Analysis

A. Conversion (1st C/A)

Plaintiffs' specific allegations on which the conversion cause of action is based are that Defendants took possession of 22 iPhones belonging to Plaintiffs which were to be used by Defendants in managing the properties. (FAC ¶ 45.) Defendants "knowingly or intentionally caused the [iPhones] became [sic] lost or remotely managed [?] by Defendants" which resulted in "substantial interference" with the iPhones and rendered them "unusable." (FAC ¶ 45.) Defendants "refused to return the iPhones to Plaintiffs in a usable condition." (FAC ¶ 45 [emphasis added].) Though in their opposition Plaintiffs argue the "wrongful retention" of the phones can constitute a conversion (Opp. p. 6, ll. 1-2), Plaintiffs do not allege the iPhones were not returned; rather, they allege they were not returned in a "usable" condition which implies they were returned but were somehow returned in a damaged condition.

1. Conversion (or Trespass to Chattels) Requires Intentional Act

" 'The tort of conversion is an "act of dominion wrongfully exerted over another's personal property in denial of or inconsistent with his rights therein." ' [Citation omitted.]" (*Multani v. Knight* (2018) 23 Cal.App.5th 837, 852.) " 'The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages.' [Citation, internal quotation marks omitted.]" (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) The Court in *Multani v. Knight, supra*, explained that conversion requires an intentional act, relying on another decision in which goods were destroyed by a fire while in the defendant's possession, "if return of the property to the plaintiff is impossible 'because the goods have been lost or destroyed, either without fault on the part of the bailee or merely because of

his negligence, there is no conversion. Negligence in caring for the goods is not an act of dominion over them such as is necessary to make the bailee liable as a converter.' [Citation omitted.]" (*Id.* at 853-854.)

Where the interference with the plaintiff's rights in personal property is not sufficient to be deemed a conversion, a claim for trespass to chattels may be stated, but that claim still requires intentional conduct. (*See also Intel Corp. v. Hamidi* (2003) 30 Cal.4th 1342, 1350-1351.) "Under California law, trespass to chattels 'lies where an intentional interference with the possession of personal property has proximately caused injury.' [Citation, italics omitted.] In cases of interference with possession of personal property not amounting to conversion, 'the owner has a cause of action for trespass or case, and may recover only the actual damages suffered by reason of the impairment of the property or the loss of its use.' [Citations omitted.] In modern American law generally, '[t]respass remains as an occasional remedy for minor interferences, resulting in some damage, but not sufficiently serious or sufficiently important to amount to the greater tort' of conversion. [Citation, italics omitted.]" (*Id.*) (*See also Jamgotchian v. Slender* (2009) 170 Cal.App.4th 1384, 1400-1401.)

2. Sham Pleading Doctrine

Plaintiffs' first cause of action as presently alleged no longer alleges economic damage based on overbilling, improper charges, or lost rentals. (*See* Orig. Compl. ¶ 45.) A fair reading of the first cause of action in the FAC instead alleges loss or damage to tangible personal property of Plaintiffs, the iPhones, not merely financial harm. (FAC ¶¶ 45, 46.) Where there is property damage, the economic loss rule does not bar a tort claim for negligence. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 ["[T]here is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by personal injury or property damage." (Emphasis added.)].)

Defendants contend the first cause of action is nevertheless barred because negligence or a breach of contract does not support a claim of conversion under *Multani*. (*Multani, supra*, 23 Cal.App.5th at 853-854.) Defendants argue that Plaintiffs' claim regarding the loss or injury to the iPhones in the original complaint was alleged in a claim for negligence (Orig. Compl. ¶ 44), which is insufficient to state a conversion claim under *Multani* and other authority. Negligent conduct would also not be sufficient to state a claim for trespass to the chattels.

Plaintiffs did not allege any additional facts in the FAC to support their conversion claim but merely added the word "intentionally" to the facts alleged in the original negligence cause of action. They changed their allegation that the phones "became lost or remotely managed [?]" to allege that Defendants "intentionally" caused the phones to "became [sic] lost or remotely managed [?]." (*Compare* Orig. Compl. ¶ 44 to FAC ¶ 45.)

Defendants argue the sham pleading doctrine applies as the allegations are inconsistent with the original complaint which alleged merely negligence in the handling of the phones. (*Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408, 425-427.) "Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. [Citation omitted.] . . . [¶] The sham pleading doctrine is not 'intended to prevent honest complainants from correcting erroneous allegations ... or to prevent correction of ambiguous facts.' " [Citation omitted.] Instead, it is intended to enable courts 'to prevent an abuse of process.' " [Citation omitted.]" (*Id.* at 426 [emphasis added].) "A pleader may not attempt to breathe life into a complaint by omitting

relevant facts which made his previous complaint defective. [Citation omitted.] . . . 'A litigant should not be allowed to abuse the privilege of amendment. If the amended pleading is only a sham, and it is apparent that no cause of action can truthfully be stated, the court should disregard that pleading.' " (*Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 713.) (See also *Nolte v. Cedars-Sinai Medical Center* (2015) 236 Cal.App.4th 1401, 1406 [" 'A plaintiff may not avoid a demurrer by pleading facts or positions in an amended complaint that contradict the facts pleaded in the original complaint or by suppressing facts which prove the pleaded facts false.' [Citation omitted.]"]].)

Plaintiffs disregard Defendants' sham pleading argument in their opposition to the motion. They offer no explanation or basis for changing the claim for negligence resulting in the loss or damage to the iPhones in their original complaint into a claim in the FAC that Defendants "intentionally" caused the loss of the phones or "intentionally" returned the phones in an unusable condition. Plaintiffs have not explained the basis for changing the negligence allegations to "intentional" allegations and why the change is not a sham to avoid the claim being subject to demurrer, or a motion for judgment on the pleadings.

In the absence of any facts or argument by Plaintiffs to explain why the sham pleading doctrine does not apply, the Court **grants** the motion as to the first cause of action. The Court will allow Plaintiffs **leave to amend** to the extent Plaintiffs have additional facts to support the claim of intentional conduct by Defendants rendering the phones unusable and an explanation for the change in their allegations from negligence to intentional conduct.

B. Violation of Unfair Competition Law – (2nd C/A)

Plaintiffs allege violation of the Unfair Competition Law, Business & Professions Code section 17200, *et seq.* ("UCL") in their second cause of action. Statutory causes of action must be pleaded with particularity; the "complaint must plead every fact which is essential to the cause of action under the statute." (*Baskin v. Hughes Realty, Inc.* (2018) 25 Cal.App.5th 184, 207.) (See also *Fischer v. San Pedro Peninsula Hospital* (1989) 214 Cal.App.3d 590, 604.)

Plaintiffs allege that Defendants violated Civil Code section 1950.5(b) "by levying unreasonable, excessive and unlawful charges against the security deposits of Plaintiffs' tenants." (FAC ¶ 41.) (See also FAC ¶ 40.) The allegations are incorporated into the second cause of action. (FAC ¶ 48.) Plaintiffs allege that "[a]ll of the conduct described herein was done in violation of the [Management] Agreements" and without Plaintiffs' knowledge. (FAC ¶ 50.)

1. Law Governing UCL Claim

"Business and Professions Code section 17200 *et seq.* prohibits unfair competition, including unlawful, unfair, and fraudulent business acts. The UCL embraces 'anything that can properly be called a business practice and that at the same time is forbidden by law.' [Citations and internal quotations omitted.]" (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.) A claim for unfair business practices under the UCL by its terms may be asserted for practices that are "unfair," "unlawful," or "fraudulent." (Bus. & Prof. Code § 17200.) The statute is written in the disjunctive so that allegations meeting any one of the three prongs are sufficient. (*Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105, 1133.) "[A] breach of contract may . . . form the predicate for Section 17200 claims, *provided it also constitutes conduct that is 'unlawful, or unfair,*

or fraudulent.' [Citations, internal quotation marks omitted, italics in original.]" (*Puentes v. Wells Fargo Home Mortgage, Inc.* (2008) 160 Cal.App.4th 638, 645.)

The remedies available in a UCL action by a private plaintiff are limited to restitution and injunctive relief. (*Korea Supply, supra*, 29 Cal.4th at 1144 ["A UCL action is equitable in nature; damages cannot be recovered."].) (See also *Lee v. Luxottica Retail North America, Inc.* (2021) 65 Cal.App.5th 793, 800 [only available relief is restitution, not damages, under UCL].) The Court in *Korea Supply* held the demurrer to the UCL claim in that case should have been sustained because the plaintiff did not state a claim for restitution. "The object of restitution is to restore the status quo by returning to the plaintiff funds in which he or she has an ownership interest. [¶] The remedy sought by plaintiff in this case is not restitutionary because plaintiff does not have an ownership interest in the money it seeks to recover from defendants. . . . [¶] Further, the relief sought by plaintiff is not restitutionary under an alternative theory because plaintiff has no vested interest in the money it seeks to recover." (*Korea Supply, supra*, 29 Cal.4th at 1146-1151, in particular 1149.)

2. Application to the UCL Claim Alleged by Plaintiffs

Plaintiffs allege, among other things, that Defendants as Plaintiffs' agent violated Civil Code section 1950.5(b) regarding the handling of tenant security deposits "systematically, uniformly, and in bad faith." (FAC ¶ 41.) They allege Defendants also breached the Management Agreements and then specify a series of acts and omissions related to the management of the properties in the second cause of action, including failure to comply with California law on tenant security deposits and failure to provide proper accountings. (FAC ¶¶ 41, 50.) These allegations plead facts essential to state the unlawful or unfair requirement of a UCL statutory claim.

Plaintiffs, however, have not alleged facts stating a right to restitutionary relief under the UCL. They explicitly allege the "financial injury" and "lost property or money" resulted in "monetary damages to Plaintiffs, relief for which is set forth herein." (FAC ¶ 52.) In their Opposition, they argue, without citation to authority, that the injuries they allege are "concrete" under the UCL, because they allege as a result of the unlawful or unfair conduct, they were "named as defendants in a related class action, incurring legal fees and reputational harm." (Opp. p. 6, ll. 18-20.) Concrete injury is not the standard for pleading a right to relief under the UCL. Damages for "reputational harm" is not a right to restitution under *Korea Supply*. That Plaintiffs may have incurred damages for attorneys' fees because they are having to defend the class action is not a claim for restitutionary relief either. (*Korea Supply, supra*, 29 Cal.4th at 1146-1151.)

The motion for judgment on the pleadings as to the second cause of action is **granted, with leave to amend.**

C. Breach of Fiduciary Duty (3rd C/A)

Plaintiffs allege Sequioa (or "defendants") agreed "in writing" to act as a fiduciary for the management of each apartment property and to perform various management duties and other obligations, citing the Management Agreement attached as Exhibit A as the basis for the obligations they allege Sequioa agreed to. (FAC ¶¶ 34-38.) (The Court addresses the motion and the allegations of the FAC 3rd through 11th C/As as they pertain to Alder Creek in a separate section below.) These allegations are incorporated into the third cause of action. (FAC ¶ 53.)

In the breach of fiduciary duty cause of action, Plaintiffs reiterate that defendants agreed in writing to

be fiduciaries and cite to the obligations they agreed to perform as part of their fiduciary duty under the Management Agreements. (FAC ¶¶ 54, 56.) They allege Sequoia breached its fiduciary duty in various ways, specifically: "failing to provide proper accountings of rents and expenses, failing to get informed consent from the Plaintiffs regarding Defendants' handling of tenants' security deposits, for violation of California Civil Code § 1950, et seq., improperly withholding tenants' security deposits, overcharging tenants, failing to properly charge tenants for rent and expenses under the tenant leases, overcharging for vendor costs, overcharging Plaintiffs for labor, falsifying vendor expenses, failing to obtain approved budgets from Plaintiffs, failing to properly collect rents and other income belonging to Plaintiffs, failure to provide proper legal notices to tenants and subjecting Plaintiffs to legal claims from tenants as a result of Defendants' mismanagement." (FAC ¶ 56 [emphasis added].) They allege generally defendants failed to exercise "ordinary care and diligence" and that Plaintiffs "have been or will be harmed." (FAC ¶¶ 57, 58.)

1. The Economic Loss Rule

The California Supreme Court recently addressed the economic loss rule in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1. The economic loss rule "is deceptively easy to state: In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." [Citation omitted.] Or, as *Robinson* phrased the rule: "[t]he economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise." [Citation omitted.]" (*Id.* at 20 [quoting *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988].)

The issue as framed in *Rattagan* and the decisions on which *Rattagan* relied is: under what circumstances can a party to a contract seek tort recovery against the other party to the agreement for claims arising out of the subject matter of the contract? The Court in *Rattagan* explained that the economic loss rule is a "specific application" of the "independent tort principle" doctrine differentiating between contract and tort obligations, which it describes in exhaustive detail. (*Rattagan, supra*, 17 Cal.5th at 37.) "[T]ort recovery for breach of a contract duty is generally barred . . . unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (*Id.* at 20-21 [emphasis added].)

The Court in *Rattagan* explains that tort and contract obligations differ. "A tortfeasor is held liable not for violating a contract, but for violating an independent legal duty. [¶] [T]o be held liable in tort, a defendant must commit a tort. If all the defendant has allegedly done is violate the terms of the parties' contract, depriving the plaintiff of the benefits the contract ensures, the defendant's liability is limited by the contract. Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (*Id.* at 37 [emphasis added].) *Rattagan* and *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979 held claims grounded in intentional misrepresentation or fraudulent concealment were not barred by the economic loss rule, to the extent the fraud or concealment violates an independent legal duty and is not based solely on a breach of the contract terms.

(*Rattagan, supra*, 17 Cal.5th at 30-38 [explaining the *Robinson* decision] and 42-45 [holding economic loss rule does not bar claim for fraudulent concealment, not just claim for fraud based on affirmative misrepresentations].)

2. Application to the Breach of Fiduciary Duty Claim

While an agent for a principal may have fiduciary duties within the scope of the agency which can be breached, the facts Plaintiffs expressly allege to state the breach of fiduciary duty claim are duties Plaintiffs contend were set forth in the Management Agreements, including its agreement to perform as a limited fiduciary under the terms of the agreements. (FAC Exh. A [Mgmt Agmt Section 3.1 ["Owner hereby grants to Manager the right, subject to the provisions hereof, to manage, operate, obtain leases for, collect rents from, and maintain the Property for the account of Owner, and Manager hereby accepts said grant and agrees that it will manage, operate, obtain leases for, collect rents from, and maintain the Property pursuant to the terms and conditions of this Agreement. Manager shall act in a fiduciary capacity with respect to the proper protection of, and accounting for, Owner's assets to the extent in Manager's possession or control. In this capacity, Manager shall deal at arm's length with all third parties. Owner acknowledges that Manager performs similar management services to others, including affiliates of Manager. Manager shall devote its best efforts consistent with first-class professional leasing and management of the Property and perform its duties and obligations hereunder with due diligence and care and in good faith so as to manage, obtain leases for, operate, collect rents from and maintain the Property in a first-class manner comparable to similar properties in similar locations."].) The Management Agreements specifically cover compliance with laws, collection of rents, leasing, and accounting. (FAC Exh. A [Mgmt. Agmt. sections 3.5, 3.7, 3.13, 5.1].)

In their Opposition, Plaintiffs assert that they allege Defendants breached their fiduciary duties to them by Sequoia "misappropriating funds, failing to return Plaintiffs' property (including iPhones), and engaging in self-dealing." (Opp. p. 6, ll. 23-25.) The breaches of fiduciary duty allegedly committed by Sequoia set forth in paragraph 56 of the FAC do not include failing to return the iPhones or returning the phones in a damaged condition, "misappropriation" of Plaintiffs' funds or "self-dealing." Plaintiffs' Opposition does not cite any specific paragraphs of the FAC on which they rely to support their position. (See Opp. p. 6, ll. 23-25.) The allegations of paragraph 56 cited above generally allege Sequoia failed to use "ordinary care and diligence" in its provision of the management services under the Management Agreements. (FAC ¶ 57.) In their opposition, Plaintiffs also refer to "statutory fiduciary duties" but cite only FAC paragraphs 35 and 37 which in turn cite only provisions of the Management Agreement attached to the FAC.

The breach of fiduciary duty claim as pled in the FAC also fails to allege facts to support the second requirement for the application of the independent tort doctrine and inapplicability of the economic loss rule, which is that the injury or damage Plaintiffs contend they suffered from the alleged breaches was outside the contemplation of the parties when they entered into the Management Agreements. (*Rattagan, supra*, 17 Cal.5th at 2021.) Plaintiffs merely allege that based on the breaches stated in paragraph 56, they have been harmed and suffered damages. (FAC ¶¶ 58, 59.) They do not allege facts showing they sustained damages or injury outside of the types of damage or injury the parties contemplated they would suffer from breach of Sequoia's obligations under the Management Agreements, including the covenant that Sequoia would act as a fiduciary for the limited purposes of

those agreements.

Plaintiffs may be able to allege additional facts to demonstrate these causes of action are not barred by the economic loss rule. They will be given an opportunity to do so. The motion is **granted** as to the third cause of action, **with leave to amend**.

D. Negligent and Intentional Misrepresentation (4th and 5th C/As)

In the negligent misrepresentation cause of action, the only misrepresentations Plaintiffs allege Sequoia made are the description of the duties Sequoia agreed to undertake in the written Management Agreement for the future management of the properties. Plaintiffs allege the misrepresentations were made when two officers of Sequoia signed the Management Agreement, including the provision of the Management Agreement that Sequoia would devote its best efforts to the management of the properties "consistent with first class professional leasing and management." (FAC ¶¶ 60 [incorporating FAC ¶¶ 34-38 and Exh. A], 61, 62.) They then make the conclusory allegation that defendants had no basis for believing the "representations" when made. (FAC ¶ 63.) They allege generally that Plaintiffs relied on the "representations" and suffered damages. (FAC ¶ 64.)

The fraud and intentional misrepresentation cause of action similarly is founded on the alleged representation in writing regarding Sequoia's agreement to act in a fiduciary capacity in the conduct of its future management of the properties under the Management Agreement. (FAC ¶¶ 66, 67.) Plaintiffs allege generally that the "defendants" "knew the representations were false when made" or the representations were made recklessly without regard to their truth. (FAC ¶ 68.) They allege defendants made the representations with intent for Plaintiffs to rely on them by signing the Management Agreements, that they signed the agreements and paid fees and commissions, and have been harmed as a result. (FAC ¶¶ 69, 70.)

1. Elements of Intentional and Negligent Misrepresentation and Heightened Pleading Standard

Fraud must be pled with specificity: the plaintiff is required to plead the "who, what, when, and where" of the alleged misrepresentation. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645) "A plaintiff's burden in asserting a fraud claim against a corporate employer is even greater. In such a case, the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.' " (*Id.* [quoting *Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal. App. 4th 153, 157].)

The elements of fraud are " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.) Generally, to be actionable under a fraud cause of action for intentional or negligent misrepresentation, the misrepresentation generally must be one of a past or existing fact, not a prediction of future performance. (*Neu-Visions Sports v. Soren/McAdam/Bartells* (2000) 86 Cal.App.4th 303, 309-310 [" 'It is hornbook law that an actionable misrepresentation must be made about past or existing facts; statements regarding future events are merely deemed opinions. [Citations.]' [Citations omitted.]"].) (*See also Granadino v. Wells Fargo Bank, N.A.* (2015) 236 Cal.App.4th 411, 417 [distinguishing a representation from a promise, which is an " 'assurance that a

person will or will not do something.' [Citation omitted.]"). " 'Promissory fraud' is a subspecies of the action for fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. [Citations omitted.]" (*Lazar, supra*, 12 Cal.4th at 638.)

"The elements of negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage. [Citation omitted.] In contrast to fraud, negligent misrepresentation does not require knowledge of falsity. A defendant who makes false statements ' "honestly believing that they are true, but without reasonable ground for such belief, . . . may be liable for negligent misrepresentation . . . " [Citations.]' [Citation omitted.] However, a positive assertion is required; an omission or an implied assertion or representation is not sufficient. [Citations omitted.]" (*Apollo Capital Fund LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.)

California does not recognize a claim for false promise based on a negligent misrepresentation. (*Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 158-159 ["[A]n action based on a false promise is simply a type of intentional misrepresentation, i.e., actual fraud. The specific intent requirement also precludes pleading a false promise claim as a negligent misrepresentation, i.e., 'The assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true.' [Citation omitted.]").) To state a claim for fraud based on a false promise the complaint must allege more than the promises and the defendant's failure to perform. Plaintiffs must allege additional facts and circumstances that support an inference of a promise made without intent to perform, instead of an agreement honestly made that was not performed. (*Id.* at 159 ["Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise."].) (*See also Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 708 ["In so differentiating a false promise from the great bulk of broken promises, the allegations necessary to show contemporaneous intention not to perform should be clear, specific, and unequivocal. [Citations omitted.]"].)

2. Application to the Claims Pled in the FAC

Plaintiffs have pled that Sequoia made a "representation" in writing to Plaintiffs when Sequoia's identified representatives signed the Management Agreements which described the role Sequoia would undertake as property manager, as set forth above. Though specific, the "representations" alleged in the FAC on which both the negligent and intentional misrepresentation claims are based, the only ones pled with specificity, and that Plaintiffs allege were "false" are the covenants or promises made in the Management Agreements regarding Sequoia's future operation of the properties under that agreement. (FAC ¶¶ 34-38, 61, 62, 66, 67.)

Plaintiffs implicitly concede that the basis of these causes of action is promissory fraud by arguing that there are other facts alleged in the FAC (without reference to any specific paragraphs) that support an inference "Defendants never intended to honor their contractual promises at the time they were made." (Opp. p. 8, ll. 1-2.) The allegations of the FAC do not support the negligent misrepresentation cause of action because California does not recognize a claim for negligent

misrepresentation based on a false promise. (*Tarmann, supra*, 2 Cal.App.4th at 158-159.)

As to the intentional misrepresentation claim, the FAC fails to allege sufficient facts with specificity to support that Sequoia made the promises alleged, by entering into the Management Agreements, without intent to perform at the time the Management Agreements were made. The FAC alleges Sequoia made certain promises in the Management Agreements in paragraphs 66 and 67 in the fifth cause of action and that they were "false when made, or they made the representations recklessly and without regard for the truth of the representations." (FAC ¶ 68.) Plaintiffs' Opposition does not direct the Court to any "clear, specific, and unequivocal" factual allegations in specific paragraphs of the FAC that support the conclusory allegations or contentions in paragraph 68, or which show that at the time Sequoia entered into each of the Management Agreements, it had no intention to perform its promises. (*Hills Transp. Co., supra*, 266 Cal.App.2d at 708.)

Plaintiffs also argue in their Opposition that Sequoia "represented that all rents had been collected and remitted, that security deposits were properly held and accounted for, and that the properties were being properly maintained, when in fact these representations were false." (Opp. p. 13-15.) Plaintiffs again cite no paragraphs of the FAC in which these representations are alleged to support their argument. Further, those representations reflect facts that would have necessarily arisen after the Management Agreements were entered into. Plaintiffs do not allege in the FAC any specific facts regarding representations made by Sequoia post-contract execution by any identified personnel of Sequoia, made in any specific manner or at any specific time during the performance of the Management Agreements, nor does Plaintiffs' Opposition cite any such allegations in their argument regarding these claims.

Plaintiffs' argument that negligent misrepresentation can be stated against a licensed real estate professional as a fiduciary based on their duty "to provide Plaintiffs with accurate information" implicitly refers to post-contract execution information that Plaintiffs contend Sequoia provided that was inaccurate. (Opp. p. 8, ll. 3-6.) The FAC does not allege (a) who provided inaccurate information, (b) when and in what manner the inaccurate information was provided, (c) to whom was the inaccurate information provided, and (d) what information specifically was inaccurate. Such specific, not general or conclusory, factual allegations are required to meet the pleading specificity standards if the Plaintiffs contend that Sequoia made post-execution representations such as those described in the opposition to support the fraud and negligent misrepresentation claims.

Given these deficiencies, the Court need not reach the additional ground for the motion for judgment on the pleadings on the fourth and fifth causes of action based on the economic loss rule. The motion for judgment on the pleadings as to the fourth and fifth causes of action is **granted, with leave to amend**.

E. Tortious Interference with Contractual Relations and Negligent Interference with Prospective Business Advantage (7th and 8th C/As)

"To state a claim for tortious interference with contractual relations, a plaintiff must allege: ' (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) *actual breach or disruption* of the contractual relationship; and (5) resulting damage.' " [Citation omitted.] As to the fourth element, a defendant's conduct may give rise to a claim for tortious interference with contractual relations if it induces an actual breach of plaintiff's contract, or 'if

plaintiff's performance is made more costly or more burdensome.' [Citation omitted.]" (*Rincon Band of Luiseño Mission Indians etc. v. Flynt* (2021) 70 Cal.App.5th 1059, 1129.)

The elements of a claim for interference with prospective economic advantage are: " '(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant. [Citations.] [Citation.] [Citation.]" [Citation, some internal quotation marks omitted.]" (*Crown Imports, LLC v. Superior Court* (2014) 223 Cal.App.4th 1395, 1404.) To state the cause of action, there must be "an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff." (*Id.*)

" '[A] stranger to a contract may be liable in tort for intentionally interfering with the performance of the contract.' [Citation omitted.]" (*Mintz v. Blue Cross of California* (2009) 172 Cal.App.4th 1594, 1603 [quoting *Pacific Gas & Electric Co. v. Bear Stearns & Co.* (1990) 50 Cal.3d 1118, 1126 cited by Plaintiffs].) Subsequent cases hold the phrase means "one who is not a party to the contract or an agent of a party to the contract." [Citation omitted.]" (*Caliber Paving Co., Inc. v. Rexford Industrial Realty & Management, Inc.* (2020) 54 Cal.App.5th 175, 184 [268 Cal.Rptr.3d 443].) However, "it is settled that 'corporate agents and employees acting for and on behalf of a corporation cannot be held liable for inducing a breach of the corporation's contract.' [Citation omitted.]" (*Mintz, supra*, 172 Cal.App.4th at 1604 [holding that Blue Cross who was acting as claims administrator and agent for CalPERS under an insurance contract between the plaintiff Mintz and CalPERS "was vested with the power to act for CalPERS, and therefore cannot be held liable for interference with the very contract it was charged with administering."].) "Because the representative of a contracting party may not be held liable for the tort of interfering with its principal's contract," the plaintiff in *Mintz* was held not to be able to state a claim for intentional interference with contract rights against Blue Cross. (*Id.* at 1607.)

1. Plaintiffs' Allegations

In the seventh cause of action, Plaintiffs allege they had existing leases with tenants which were subject to the Management Agreements, that Sequoia, among other things, as part of its management failed to properly staff the properties, train and supervise its employees, respond to tenant complaints, and charged unlawful and excessive charges to Plaintiffs' tenants and therefore "intentionally induced tenants to breach their contracts with Plaintiffs." (FAC ¶ 78.) They allege Sequoia's acts or omissions "caused certain tenants to either break their contracts, or decide not to renew their contracts on expiration of the specified tenancy." (FAC ¶ 78.) They also allege Sequoia's acts or omissions caused the tenants to file a class action lawsuit against Plaintiffs causing damage to Plaintiffs. (FAC ¶ 79.)

In the eighth cause of action, Plaintiffs allege Sequoia acted in a manner "to disrupt, destroy and interfere with prospective business opportunities . . . and existing business relationships between Plaintiffs" and their tenants. (FAC ¶ 82.) Plaintiffs allege the same failures as in the interference with contractual relations claim (compare FAC ¶ 78 and FAC ¶ 84), and they also allege interference with Plaintiffs' tenant relationships by overcharging tenants and undercharging tenants at move out, resulting in an interference with Plaintiffs' relationship with their tenants and the leases Plaintiffs had

with the tenants. (FAC ¶¶ 85, 86.)

2. Sham Pleading Argument

Defendants argue that the original complaint only alleged the filing of the class action by the tenants based on the mishandling of the tenant security deposits as the basis for the interference with contractual relations cause of action, and that Plaintiffs violate the sham pleading rule by alleging additional facts to support the claim. The sham pleading rule as cited above prohibits a party from making additional allegations in an amended pleading that are inconsistent with or contradictory to allegations in a prior pleading but not making adding more facts consistent with the prior pleading to support the claim. Indeed, a demurrer will often prompt a plaintiff to expand its factual allegations to overcome pleading deficiencies. The additional allegations made by Plaintiffs do not contradict the original complaint, unlike the unexplained change made in the conversion cause of action.

3. Mintz Unaddressed

As to the seventh cause of action for interference with contractual relations, Defendants argue that Sequoia as Plaintiffs' agent managing or administering the tenant contracts under the Management Agreements cannot be held liable for interference with Plaintiffs' tenant contracts. (*Mintz, supra*, 172 Cal.App.4th at 1603-1604.) Plaintiffs do not respond to this argument or address the authority that appears to preclude Plaintiffs' stating the seventh cause of action. Based on *Mintz* and similar authority cited above, the Court **grants** the motion for judgment on the pleadings as to Sequoia on the seventh cause of action. Though it is not clear to the Court how this cause of action may be amended to state a valid claim and overcome *Mintz*, the Court **grants Plaintiffs leave to amend** this cause of action.

4. Prospective Business Advantage Where Plaintiffs Allege Tenants Were Leaving the Properties

Sequoia contends Plaintiffs cannot state an interference with prospective business advantage because the FAC alleges the tenants were moving out when their security deposits were allegedly mishandled, and therefore no future economic relationship between Plaintiffs and the tenants was contemplated. The eighth cause of action, however, is not limited to claims based on mishandled security deposits for tenants who had ended their leases. The FAC alleges acts and omissions in Sequoia's management of tenant relationships, including not responding to tenant complaints and charging improper amounts to the tenants, which caused some tenants to not renew their leases.

For purposes of the standard for ruling on a motion for judgment on the pleadings, like a demurrer, the facts allege a prospective business relationship with a probable future benefit to Plaintiffs (i.e., the renewal of a lease) which Sequoia interfered with based on the foregoing acts and omissions that caused Plaintiffs damage through the loss of Plaintiffs' prospective relationship with those tenants. (FAC ¶¶ 84-86.) These allegations are sufficient to state the eighth cause of action for interference with prospective economic advantage. The motion as to Sequoia on the eighth cause of action is **denied**.

F. Constructive Fraud by Defendants as Real Estate Brokers (9th C/A)

Constructive fraud requires the plaintiff to demonstrate: "(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury. Constructive fraud is any

breach of duty that, without fraudulent intent, gains an advantage to the person at fault by misleading another to his prejudice. [Citations omitted.] Like an action for fraud, constructive fraud must be pled with specificity. [Citation omitted.]" (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249-1250.)

1. Plaintiffs' Allegations

Plaintiffs allege that Sequoia failed to disclose to Plaintiffs various generically alleged acts and omissions by Sequoia in its management of the properties, including its alleged failure to properly screen tenants, staff properties, collect rent and income, train and supervise employees, and respond to tenant complaints, its imposing improper (or "fabricated") charges on tenants, and its mishandling of tenant security deposits. (FAC ¶¶ 90, 93.) Plaintiffs also allege Sequoia held an undescribed "financial advantage over Plaintiffs," and misled Plaintiffs by "misrepresenting" it would use its best efforts to perform its obligations under the Management Agreements "with due diligence, care and good faith" so that Plaintiffs would sign the Management Agreements. (FAC ¶ 92.) They allege these acts and omissions caused damage to Plaintiffs and the tenants.

2. Specificity Requirement Applied

This cause of action does not meet the specificity requirement for pleading constructive fraud. Plaintiffs' allegations are general and lack facts stating the "who, what, when, where and how" of the constructive fraud. No time frame for any of the omissions or improper acts is alleged to support this cause of action. The FAC contains no specific allegations as to the tenants who were not properly screened, the properties that were not sufficiently staffed, the rents or income not collected, the employees not properly trained or supervised, the lack of response to tenant complaints, or the mishandling of tenant charges or security deposits. Plaintiffs seem to reiterate their promissory fraud allegations in paragraph 92 which fail for the same reasons set forth above. There are no allegations as to when and how Plaintiffs learned of the allegedly undisclosed information.

The motion for judgment on the pleadings as to Sequoia on the ninth cause of action is **granted, with leave to amend**.

G. Accounting (11th C/A)

"An action for an accounting has two elements: (1) 'that a relationship exists between the plaintiff and defendant that requires an accounting' and (2) 'that some balance is due the plaintiff that can only be ascertained by an accounting.' [Citation omitted.]" (*Sass v. Cohen* (2020) 10 Cal.5th 861, 869 [quoting *Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.]) "An action for an accounting has been characterized as 'a means of discovery.' (*Teselle, supra*, 173 Cal.App.4th at p. 180 ['the purpose of the accounting is, in part, to discover what, if any, sums are owed to the plaintiff, and an accounting may be used as a discovery device'].)" (*Id.*) "[T]he defendant in an accounting action possesses information unknown to the plaintiff that is relevant for the computation of money owed." (*Id.*)

Plaintiffs allege sufficient facts to state a claim for an accounting based on the two elements set forth in *Teselle* and adopted by the Court in *Sass*. The FAC adequately alleges that Sequoia possesses financial information regarding the properties that is not known to Plaintiffs and that requires Sequoia to account for the properties' income and expenses which were undisputedly managed by

Sequoia as their agents. (FAC ¶¶ 34, 35, 37, 39-41, 100, 101.)

"Under our system of pleading, a cause of action for accounting need only state facts showing the existence of the relationship which requires an accounting and the statement that some balance is due the plaintiff." (*Brea v. McGlashan* (1934) 3 Cal.App.2d 454, 460.) In *Brea*, cited by Sequoia, the Court held that a demurrer was properly overruled to an employee's claim for an accounting despite employee's allegation that the employee was due \$8,000, which the Court characterized as surplusage. (*Id.*) The Court held the claim was adequately alleged against the employer by the employee alleging she was to be paid a percentage of moneys received by the employer and that the employee did not know the amount the employer had received. (*Id.*) Neither *Brea* nor *Teselle* state an accounting cause of action must allege the accounts are "so complicated" that an ordinary legal action is inadequate. In any event, allegations that Sequoia had agreed at least to a limited fiduciary duty to Plaintiffs in the Management Agreements under which it was responsible for handling the income and expenses for the properties, including tenant security deposits and other charges made to tenants and vendor expenses, are sufficient to show the accounts are complicated and require an accounting from Sequoia.

The motion for judgment on the pleadings as to Sequoia in the 11th C/A is **denied**.

H. Defendants' Contention that Claims Are Founded on the Class Action

Defendants assert that the entire FAC is founded on the fact Plaintiffs were sued in the Class Action, and that because Plaintiffs have now been dismissed from the Class Action, the claims in the FAC fail. While the FAC alleges Plaintiffs were sued in the Class Action, and while some of the breaches of management duties alleged in the FAC may also be acts or omissions alleged by the tenants as wrongful and injurious to the tenants in their Class Action complaint, there are other allegations of violations of the duties under the Management Agreements, such as failure to collect rents due, which are not. Further, even if the Court considered the stipulation in the Class Action attached as Exhibit 4 to the Davidson Declaration despite the lack of a request for judicial notice, the stipulation on its face indicates it resulted in the dismissal of the Plaintiffs without prejudice, such that the tenants' claims could potentially be renewed against the Plaintiffs. The motion for judgment on the FAC in its entirety on this ground is **denied**.

I. Claims Against Alder Creek Asserted in 3rd Through 11th C/As

The FAC alleges Alder Creek invests and manages apartment buildings and holds a real estate license. (FAC ¶¶ 28, 32.) Plaintiffs also allege on information and belief generically that each of the defendants is an agent or representative of the other defendants. (FAC ¶ 30.) When an allegation is made on information and belief, the complaint must also allege the facts that are the basis for plaintiff's information and belief. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ["[p]laintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true."], quoting *Pridonoff v. Balokovich* (1951) 36 Cal.2d 788, 792[.]) (See also *Brown v. USA Taekwondo* (2019) 40 Cal.App.5th 1077, 1106-1107, affirmed by *Brown v. USA Taekwondo* (2021) 11 Cal.5th 204.)

The FAC alleges Plaintiffs entered into a property management agreement with Sequoia, an exemplar copy of which is attached to the FAC as Exhibit A, and which identifies only plaintiff Fuller Properties and Sequoia as parties. (FAC ¶ 34 and Exh. A.) There are other allegations that specifically refer to

agreements made by Sequoia regarding the management of the property. (See, e.g., FAC ¶¶ 34, 35, 37.) Otherwise, the FAC generally alleges the acts and omissions of "defendants," and the 3rd through 11th causes of action are alleged against "all defendants," including Sequoia, Alder Creek and the fictitious "Doe" defendants.

1. Allegations Insufficient to Pursue Claims Against Alder Creek Based on Alter Ego

Plaintiffs argue they have alleged claims against Alder Creek based on "alter ego." Plaintiffs make the conclusory allegation that there is a "unity of interest" between Sequoia and Alder; contrary to Plaintiffs' Opposition, that paragraph of the FAC does not allege that there is a unity of "ownership" between the entities or that "any separateness between them has ceased to exist" or any facts that would support such factual conclusions. (Compare FAC ¶ 33 to Opp. p. 12, ll. 1-3.) They make a single, conclusory allegation of a "unity of interest" between the entities, which is not enough to support alter ego liability. (See, e.g., *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 411, 415 ["[the plaintiff must] allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor." [Citation omitted.]] (Emphasis added.)).

Plaintiffs argue that an agent or alter ego can be held liable for the acts of the principal "where, as here, the agent participated in or directed the wrongful conduct, or where the entities are so interrelated that treating them as separate would promote injustice." (Opp. p. 12, ll. 4-9, citing *Mesler v. Bragg Management Co.* (1985) 39 Cal.3d 290, 300; *Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 538.) This general statement of the law may be accurate. It does not apply to the FAC in this case because the FAC does not allege facts regarding Alder Creek that meet the conditions stated, including any facts showing that Alder Creek agreed to be bound to the Management Agreements, that Alder Creek participated in or directed any of the alleged violations of the Management Agreements or other alleged misconduct, or that Sequoia and Alder Creek are "so interrelated that treating them as separate would promote injustice." (Opp. p. 12, ll. 4-9.)

2. Breach of Fiduciary Duty (3rd C/A)

The deficiency in the allegations of the third cause of action against Sequoia also apply to this cause of action asserted against Alder Creek. There are additional deficiencies as to Alder Creek.

The FAC alleges that the Sequoia agreed to act as Plaintiffs' fiduciary in the Management Agreements and agreed to provide property management services to Plaintiffs under the Management Agreements. (FAC ¶¶ 34, 35 and Exh. A.) Alder Creek is not a party to the Management Agreements. Plaintiffs have not alleged facts showing Alder Creek agreed to act as Plaintiffs' management agent for the properties or to act as Plaintiffs' fiduciary, and its allegation that "Defendants, and each of them, represented in writing to be the fiduciary of Plaintiffs" is contrary to the Management Agreement, Exhibit A, which Plaintiffs cite and rely on for that allegation. (Compare to FAC ¶¶ 34, 35 and Exh. A.) " 'Facts appearing in exhibits attached to the first amended complaint also are accepted as true and are given precedence, to the extent they contradict the allegations.' [Citations omitted.]" (*Nolte v. Cedars-Sinai Medical Center, supra*, 236 Cal.App.4th at 1406.) (See also *Panterra GP, Inc. v. Superior Court* (2022) 74 Cal.App.5th 697, 719 ["The allegations in the body of the first amended complaint indicated that Panterra Development Ltd., L.L.P., and Panterra GP, Inc., collectively entered into the project contract with Rosedale. However, this allegation was squarely contradicted by all three exhibits to the first amended complaint, that is, the contract, the mechanics lien, and the partial release of mechanics lien, each of which clearly indicated that Panterra Development Ltd., L.L.P., was

the 'Contractor' that entered into the project contract with Rosedale and the general contractor for the project. Even if the first amended complaint were read to allege that Panterra GP, Inc., entered into the contract with Rosedale, as the trial court evidently did, that contention also conflicted with the above-described exhibits, which were properly accorded precedence over the contrary allegation in the body of the complaint as to the party that entered into the contract with Rosedale." (Emphasis added.))

The general agency allegations of paragraph 30 are stated on information without facts alleging a basis for Plaintiffs' information and belief. As such, Plaintiffs do not allege facts sufficient to allege that Alder Creek was an agent for Plaintiffs, and they also fail to state facts sufficient to support a claim against Alder Creek as an agent of Sequoia without alleging any facts supporting the information and belief agency allegation. (*Doe v. City of Los Angeles, supra*, 42 Cal.4th at 550; *Brown v. USA Taekwondo, supra*, 40 Cal.App.5th at 1106-1107.) The cause of action as alleged fails against Alder Creek.

3. Fraud-Related Causes of Action (4th, 5th and 9th C/As)

The fourth, fifth and ninth causes of action as fraud-related claims are required to be pled with specificity under the authorities cited above. As alleged against Alder Creek, the causes of action clearly do not meet that standard since Plaintiffs allege no specific acts or omissions by Alder Creek. (*See* 4th, 5th, 9th C/As.) Plaintiffs argue they allege the names of "Sequoia and Alder Creek officers who signed" the Management Agreements (Opp. p. 11, ll. 20-21); they do not. They allege the names of the officers of Sequoia who signed the agreements, as Sequoia is the only party to the Management Agreements. (FAC Exh. A.) They do not allege that Sequoia's officers are Alder Creek's officers or any other relationship between the named individuals and Alder Creek. They do not allege any representations to Plaintiffs made by Alder Creek through any identified officer or employee of Alder Creek. They do not allege any facts regarding any role played by Alder Creek in the alleged management failures regarding the properties and nondisclosure of information alleged generically in the ninth causes of action. The causes of action as alleged fail against Alder Creek.

4. Breach of Contract (6th C/A)

"[A plaintiff] cannot assert a claim for breach of contract against one who is not a party to the contract." (*Tri-Continent Internat. Corp. v. Paris Savings & Loan Assn.* (1993) 12 Cal.App.4th 1354, 1359.) (*See also Super 7 Motel Associates v. Wang* (1993) 16 Cal.App.4th 541, 545.) To the extent Plaintiffs allege Alder Creek is a party to the Management Agreements, the allegation is contradicted by the Management Agreement attached as Exhibit A to the FAC, and the allegation is not accepted by the Court as true. (*Nolte, supra*, 236 Cal.App.4th at 1406; *Panterra GP, supra*, 74 Cal.App.5th at 719.) The FAC therefore does not allege facts to state a breach of contract cause of action against Alder Creek.

5. Interference Claims (7th and 8th C/As)

The deficiency in the allegations of the seventh cause of action against Sequoia also apply to this cause of action asserted against Alder Creek. Plaintiffs have not sufficiently alleged that Alder Creek was an agent either for Plaintiffs in managing the properties or for Sequoia for the reasons stated above, which could make Alder Creek a third party or stranger to the tenant contracts allegedly interfered with. However, the seventh cause of action is founded on allegations that the tenant leases

were interfered with by the improper performance of management duties under the Management Agreements (FAC ¶¶ 76, 78 ["as part of their management" of the properties, the acts and omissions in management caused the interference with the tenant contracts].) The foundation for the claim against Alder Creek based on Plaintiffs' allegations of the cause of the interference therefore fails, and the FAC fails to state this cause of action against Alder Creek. The eighth cause of action against Alder Creek fails for a similar reason. (See FAC ¶¶ 83 ["Pursuant to the Agreements . . ."], and 84 ["as part of their management" of the properties].)

6. Declaratory Relief (10th C/A) and Accounting (11th C/A)

The controversy Plaintiffs allege exists between the parties is allegedly regarding "the rights, duties, responsibilities and obligations" under the Management Agreements. (FAC¶ 96.) (See also FAC ¶ 97 [alleging a material condition of the Management Agreements is for defense, indemnification, and insurance coverage].) Alder Creek is not a party to the Management Agreements, so this cause of action does not allege a basis for obtaining declaratory relief against Alder Creek regarding the rights and obligations of the parties to those agreements.

An accounting cause of action requires allegations of a relationship that supports the need for the defendant to account to the plaintiff. (*Sass, supra*, 10 Cal.5th at 869; *Teselle, supra*, 173 Cal.App.4th at 179.) Plaintiffs have not alleged a relationship with Alder Creek based on the Management Agreements or any agency relationship.

7. Conclusion as to Alder Creek (3rd – 11th C/As)

For the reasons stated, the motion for judgment on the pleadings as to the third through eleventh causes of action alleged against Alder Creek is **granted, with leave to amend**.

6. 9:00 AM CASE NUMBER: C24-01562

CASE NAME: MARK SHOTWELL VS. STATE FARM GENERAL INSURANCE COMPANY

***HEARING ON MOTION FOR DISCOVERY TO COMPEL FURTHER DISCOVERYRESPONSES FROM
DEFENDANT STATE FARM GENERAL INSURANCE COMPANY**

FILED BY:

TENTATIVE RULING:

Appearance required. Counsel for the parties shall be prepared to discuss Request for Production number 10 and Special Interrogatory 4.

7. 9:00 AM CASE NUMBER: C24-01921

CASE NAME: A-S PIPELINES INC., A CALIFORNIA CORPORATION VS. DAVID SEENO

***HEARING ON MOTION IN RE: DISQUALIFY COUNSEL FOR UNAUTHORIZED DOCUMENT
COLLECTION AND POSSESSION OF TAX RECORDS.**

FILED BY: